10. Income Taxes

The significant components of the Company's deferred tax assets and liabilities were as follows (in thousands):

	December 31, 2020	December 31, 2019
Deferred Tax Assets:		
Net operating loss carryforward	$ 20,406	$ 2,875
Other reserves	761	1,090
State taxes and other	2,628	3,322
Depreciation	473	492
Total gross deferred tax assets	24,268	7,779
Deferred Tax Liabilities:		
Amortization	(34)	(38)
Deferred revenue	(191)	(284)
Other	(46)	(42)
Total gross deferred tax liabilities	(271)	(364)
Less: valuation allowance	(23,997)	—
Deferred tax assets, net	$ —	$ 7,415

At December 31, 2020 and 2019, the net operating loss carryforwards for federal income tax purposes totaled approximately $89.6 million and $10.2 million, respectively. These losses, which begin to expire in 2031, are available to offset future income through 2033.

Table of Contents

The Company's income tax (provision) benefit, net was included in the consolidated statements of operations as follows (in thousands):

	2020	2019	2018
Current:			
Federal	$ 817	$ 790	$ 4
State	8	49	(639)
Current income tax benefit (provision), net	825	839	(635)
Deferred:			
Federal	15,724	(1,112)	(365)
State	858	424	(767)
Change in valuation allowance	(23,997)	—	—
Deferred income tax provision, net	(7,415)	(688)	(1,132)
Income tax (provision) benefit, net	$ (6,590)	$ 151	$ (1,767)

The differences between the income tax benefit (provision) calculated at the statutory U.S. federal income tax rate of 21% and the actual income tax (provision) benefit, net recorded for continuing operations were as follows (in thousands):

	2020	2019	2018
Expected federal tax expense at statutory rate	$ (86,369)	$ (29,955)	$ (54,773)
Tax impact of REIT election	103,273	29,810	54,779
Expected tax benefit (provision) of TRS	16,904	(145)	6
State income tax benefit (provision), net of federal benefit	678	335	(606)
Change in valuation allowance	(23,997)	—	—
Other permanent items	645	562	(1,167)
AMT refund receivable	(820)	(601)	—
Income tax (provision) benefit, net	$ (6,590)	$ 151	$ (1,767)

The Company's tax years from 2016 to 2019 will remain open to examination by the federal and state authorities for three and four years, respectively.

In 2020, the Company recorded a full valuation allowance on its deferred income tax assets, net. The Company can no longer be assured that it will be able to realize these assets due to uncertainties regarding how long the COVID-19 pandemic will last or what the long-term impact will be on the Company's hotel operations.

Table of Contents

Characterization of Distributions

For income tax purposes, distributions paid consist of ordinary income, capital gains, return of capital or a combination thereof. For the years ended December 31, 2020, 2019 and 2018, distributions paid per share were characterized as follows (unaudited):

	2020		2019		2018	
	Amount	%	Amount	%	Amount	%
Common Stock:						
Ordinary income (1)	$ 0.050	100 %	$ 0.606	81.84 %	$ 0.634	91.89 %
Capital gain	—	—	0.134	18.16	0.056	8.11
Return of capital	—	—	—	—	—	—
Total	$ 0.050	100 %	$ 0.740	100 %	$ 0.690	100 %
Preferred Stock — Series E						
Ordinary income (1)	$ 1.738	100 %	$ 1.422	81.84 %	$ 1.597	91.89 %
Capital gain	—	—	0.316	18.16	0.141	8.11
Return of capital	—	—	—	—	—	—
Total	$ 1.738	100 %	$ 1.738	100 %	$ 1.738	100 %
Preferred Stock — Series F						
Ordinary income (1)	$ 1.613	100 %	$ 1.320	81.84 %	$ 1.482	91.89 %
Capital gain	—	—	0.293	18.16	0.131	8.11
Return of capital	—	—	—	—	—	—
Total	$ 1.613	100 %	$ 1.613	100 %	$ 1.613	100 %

(1) Ordinary income qualifies for Section 199A treatment per the 2017 Tax Cuts and Jobs Act ("TCJA").